



traffic moved by the Railways.

Sanjiv Garg, Secretary General of the Chartered Institute of Logistics & Transport (CILT), says the Railways has marginally reduced the cost by abolishing differential freight rates for cement.

“The Railways is not differentiating between short lead and long lead traffic, which is a regressive step. It has an inherent advantage in carrying long lead traffic as the unit cost of transportation

falls when the distance moved increases,” he says.

Garg, a former Additional Member of the Railway Board, explains that the fall in unit cost of transportation over long distances was being partly shared with rail users as an incentive for them to offer long lead traffic to the Railways.

“Now the roads will start competing over long lead traffic too, as the unit rate per km is identical for all leads of cement traffic moving

via rail,” he adds.

The actual impact of the policy is likely to be felt only in financial year 2026-27 (FY27) when numbers will be available for the entire fiscal year.

The Railways moved 1,656 million tonnes (MT) in calendar year 2025. It has plans to almost double freight traffic to 3,000 MT by 2030. Roads have grabbed a higher share of freight with faster and shorter connectivity between